

- Q 1. "Keshav is a key person at Blockbuster Private Limited. Review the following statements about key-man insurance and identify the one that is NOT correct.
- ☐ Blockbuster Private Limited is the policyholder and will therefore pay the premium.
 - ☐ The premium paid under key-man insurance by Blockbuster Private Limited is a business expense, and hence the company can claim a deduction from taxable income.
 - ☐ Keshav is the life assured under the key-man insurance.
 - ☐ Blockbuster Private Limited can only purchase a term assurance plan on Keshav's life under the key-man insurance.
 - ☐ If something happens to Keshav, the claim will be paid to Keshav's legal heirs, who will then have to pass it on to Blockbuster Private Limited.

☒ UnAttempted

CORRECT ANSWER:

If something happens to Keshav, the claim will be paid to Keshav's legal heirs, who will then have to pass it on to Blockbuster Private Limited.

Explanation:

Key man insurance is the insurance cover extended to an important or key employee of the company, the loss of whom can affect the operations and profitability of the company. Key man refers to an employee, having special skill set or significant responsibilities. His contribution to the company is quite extensive.

Features of key man insurance Based on IRDA guidelines, only Term plan can be bought under the key man insurance. The employer is the policyholder and hence pays the premium.

The key man is the life insured. In case something happens to the key man, the claim will be paid to the employer (policyholder) and not the insured. The company gets the money to recover from losses. The premium paid under the key man insurance by the company is treated as business expense and the company can claim deduction from taxable income. The proceeds received by the employer from the policy are taxable.

- Q 2. When an individual acquires an insurance plan, a _____ is established between the proposer and the insurance company.

- ☐ Bond
- ☐ Pledge
- ☐ Accord
- ☐ Agreement
- ☐ Contract

☒ UnAttempted

CORRECT ANSWER:

Contract

Explanation:

A contract is signed between the proposer and the insurance company.

In the contract the insurance company generally agrees to make a payment of sum assured along with bonuses, (if applicable) to the nominees, in case something happens to the insured or to pay the same to the policyholder, if he survives the specified term, if the client pays the appropriate premium within the stipulated time.

- Q 3. Mayuri is an actuary at Gulmohor Life Insurance Company. Review the following duties that Mayuri will perform as an actuary and identify the one that is NOT correct.

- ☐ Mayuri is responsible for ensuring the benefits promised by the insurance company are protected.
- ☐ Mayuri will predict the future trends of the company's expenses and the revenues to be generated.
- ☐ Mayuri will study the trends in the mortality rate of the policyholders.
- ☐ Mayuri will offer actuarial advice to the insurance company.
- ☐ Mayuri will lend her technical expertise in the creation of insurance products.

☒ UnAttempted

CORRECT ANSWER:

Mayuri will predict the future trends of the company's expenses and the revenues to be generated.

Explanation:

Actuaries are trained professionals who deal with the financial aspect of risk to life. They are people qualified from the Institute of Actuaries London or Actuarial Society of India. They analyse the occurrence of risk and their impact, by using various mathematical, statistical and financial models. Actuaries study probability and analyse the whole operation of insurance business

Forecasting the future trends of expenses and revenues of the insurance company is not the duty of an Actuary.

- Q 4. Pavitra is about to retire in three months. She will receive a lump sum of Rs. 30 Lakhs as gratuity from her employer. She is seeking an investment option that can provide her with regular payments to cover her post-retirement expenses and ensure the safety of her money. Which investment plan should she choose?

- ☐ Deferred annuity
- ☐ Annuity with a single premium payment
- ☐ Annuity with multiple premium payments
- ☐ Annuity with annual premium payments
- ☐ Variable annuity linked to the equity market

☒ UnAttempted

CORRECT ANSWER:

Annuity with a single premium payment

Explanation:

Single premium payment: in this type of annuity an annuitant pays a lump sum amount as a single premium. This is preferred by individuals who are nearing retirement and who have not made any prior investments for meeting post retirement obligations.

On retirement, the individuals can invest their savings by purchasing an annuity plan. In return, the insurance company can start paying pension immediately after receiving the payment. Salaried employees receive provident fund money on retirement, which they can put in an annuity plan.

- Q 5. The Life Insurance Company that does the job of setting underwriting standards is _____.

- ☐ Branch office
- ☐ Central office
- ☐ Zonal office
- ☐ Regional office
- ☐ Divisional office

☒ UnAttempted

CORRECT ANSWER:

Central office

Explanation:

The following departments are likely to be centralised in the Head Offices, as they require specialised skill and impact the whole organisation.

Actuarial, studying the claims experience, doing valuations, declaring bonuses, monitoring the adequacy of premiums, developing new products, settling underwriting standards, studying mortality rates, etc.

- Q 6. Smita invested in an endowment assurance plan with a coverage of Rs.25 Lakhs for a period of 20 years. She made annual premium payments and after eight payments, she was unable to continue due to financial difficulties. She then decided to convert her policy into a paid-up policy. What would be the paid-up value of her policy?
- ☐ Rs. 800,000
 - ☐ Rs. 500,000
 - ☐ Rs. 200,000
 - ☐ Rs. 1,000,000
 - ☐ Rs. 2,500,000

☒ UnAttempted

CORRECT ANSWER:

Rs. 1,000,000

Explanation:

Paid up value = Number of premiums paid x Sum Assured / Total No. of premiums payable

$$= 8 \times 25 \text{ lakhs} / 20$$

$$= 2,00,00,000 / 20$$

$$= 10,00,000$$

Therefore the paid-up value of Smita's policy would be Rs. 10 Lakh.

- Q 7. Virat has taken a loan from Rahul and assigned his life insurance policy to him as security for the loan. This assignment will result in transfer of _____ on the insurance policy, from Virat to Rahul.

- ☐ Title
- ☐ Rights
- ☐ Title and rights
- ☐ Title and interest
- ☐ Title, rights and interest

☒ UnAttempted

CORRECT ANSWER:

Title, rights and interest

Explanation:

Assigning a policy transfers all the rights, title and interest on the insurance policy to the persons in whose favour the policy is assigned. It is similar to transferring the policy in the assignee's name.

- Q 8. Studies on mortality, which reflect the experiences of the Indian population, are conducted by the _____.

- ☐ Institute of Actuaries of India
- ☐ Morbidity Investigation Bureau
- ☐ Mortality Investigation Bureau
- ☐ Life Insurance Council
- ☐ Mortality and Morbidity Investigation Bureau

☒ UnAttempted

CORRECT ANSWER:

Mortality and Morbidity Investigation Bureau

Explanation:

Mortality tables are also known as life tables or actuarial tables. Mortality tables are used by insurance companies for calculating premiums for insurance products.

Mortality studies reflecting the experience of Indians are made by the Mortality and Morbidity Investigation Bureau (MMIB) set up jointly by the Life Insurance Council and the Actuarial Society of India, to help insurers.

- Q 9. Suresh is interested in having the option to increase the sum assured of his insurance plan based on certain significant events. Which of these events are typically covered in the insurance plans offered by insurance companies?

- ☐ Marriage or Birth of a child
- ☐ Marriage or house purchase
- ☐ House purchase or certain policy anniversaries
- ☐ Birth of a child or certain policy anniversaries or marriage
- ☐ Marriage or Birth of a child or house purchase or certain policy anniversaries

☒ UnAttempted

CORRECT ANSWER:

Marriage or Birth of a child or house purchase or certain policy anniversaries

Explanation:

Some plans provide the option of increasing the SA on happening of important events like marriage, purchase of a house, childbirth or certain policy anniversaries. This happens due to participation in surpluses and bonus additions or due to guaranteed increases.

Some plans also provide the option of reducing the SA on happening of events like reduction of liabilities under a mortgage, achievement of certain milestones / objectives or certain policy anniversaries.

- Q 10. Sukhdev's has lost the original policy document of his endowment assurance policy which has matured. On what basis the insurer may be willing to settle the maturity claim, unless circumstances warrant more caution?

- ☐ Collateral
- ☐ Surety bond
- ☐ Warranty bond
- ☐ Guarantee bond
- ☐ Indemnity bond

☒ UnAttempted

CORRECT ANSWER:

Indemnity bond

Explanation:

If at the time of claim the original policy document is not found, insurers may be willing to settle the maturity claim on the basis of an indemnity bond unless the circumstances warrant more caution.

Q 11. There are numerous types of organizations. Below are some forms of organizations that are registered under specific laws. Which of the following does not belong to this group?

- ☐ Trusts
- ☐ Association
- ☐ Partnership Firms
- ☐ Proprietorship firms
- ☐ Co-operative Societies

☒ UnAttempted

CORRECT ANSWER:

Association

Explanation:

There are various forms of organisation. Companies, partnership firms, proprietorship concerns, cooperative societies and trusts are the forms of organisations that are registered under special laws.

Association is not one of them.

Q 12. Can you determine which type of life assurance plan will have the highest premium for the same sum assured across all plans?

- ☐ Term assurance plan
- ☐ Money back assurance plan
- ☐ Unit linked insurance plans
- ☐ Endowment assurance plan
- ☐ Pure endowment assurance plan

☒ UnAttempted

CORRECT ANSWER:

Money back assurance plan

Explanation:

Money back assurance plans are typically more expensive than other types of life assurance plans because they offer periodic payouts during the policy term, in addition to the death benefit.

These periodic payouts are a percentage of the sum assured and are paid out at regular intervals. If the policyholder survives the policy term, they receive the balance sum assured.

Q 13. Marvel Insurance Brokers Limited operates as an insurance broker. How does Marvel Insurance Brokers Limited earn its remuneration?

- ☐ Marvel Insurance Brokers Limited has the option to charge a commission from either the insurer or the customer.
- ☐ Marvel Insurance Brokers Limited will earn a commission from the insurer.
- ☐ Marvel Insurance Brokers Limited will earn a commission from the customer, subject to an IRDAI limit of 10% of the annual premium of the policy sold, for the first 5 years only.
- ☐ Marvel Insurance Brokers Limited will earn a commission from the insurer, subject to an IRDAI limit of 15% of the annual premium of the policy sold, for the first 3 years only.
- ☐ Marvel Insurance Brokers Limited will earn a commission from the customer.

☒ UnAttempted

CORRECT ANSWER:

Marvel Insurance Brokers Limited will earn a commission from the insurer.

Explanation:

Insurance brokers are independent and not attached with any particular insurer.

A broker usually does business with more than one insurance company. An insurance broker is someone who represents more than one insurance company, unlike an insurance agent who represents only one insurance company. A broker is a mediator between the customer and the insurance companies, charging commission only from the insurer

Q 14. Shridhar purchased a term assurance plan for a period of 25 years with a sum assured of Rs. 50 lakhs. If Shridhar survives the entire tenure of 25 years, _____.

- ☐ The premiums will be refunded to Shridhar
- ☐ Shridhar will not receive any payment
- ☐ A sum assured of Rs. 40 lakhs will be paid to Shridhar
- ☐ 75% of the premium will be refunded to Shridhar and interest will be paid at the SBI savings bank account interest rate
- ☐ 50% of the premium will be refunded to Shridhar and interest will be paid at the SBI savings bank account interest rate + 2%

☒ UnAttempted

CORRECT ANSWER:

Shridhar will not receive any payment

Explanation:

The most basic insurance plan that is available in the market is a term insurance plan. In fact term insurance is referred to as the purest form of life insurance, as it provides protection against risks to life

Term insurance provides only death cover i.e. the sum assured is paid to the beneficiary if the insured dies within the specified period. If the insured does not die within the specified period, no payment is made.

Q 15. Review the following statements related to gratuity payment for Priti, who is employed with Excel Broking Private Limited, and identify the INCORRECT statement:

- ☐ The gratuity received by Priti from Excel Broking Private Limited will be tax-free up to a certain limit.
- ☐ Excel Broking Private Limited will only pay gratuity to those employees who are on the company's direct payroll.
- ☐ Priti must complete five years of continuous service with Excel Broking Private Limited to be eligible for gratuity payment.
- ☐ Excel Broking Private Limited will calculate Priti's gratuity amount based on her completed years of service and her last drawn salary.
- ☐ Excel Broking Private Limited is obligated to pay a salary equivalent to 30 days for each year of service completed by Priti.

☒ UnAttempted

CORRECT ANSWER:

Excel Broking Private Limited is obligated to pay a salary equivalent to 30 days for each year of service completed by Priti.

Explanation:

Gratuity calculation: gratuity is calculated based on the number of years of service completed by the employee and the last salary drawn.

The employer has to pay 15 days salary for each completed year of service. Gratuity upto a certain limit are tax free.

Q 16. Any company having more than _____ employees has to provide gratuity to its employees, according to the Payment of Gratuity Act 1972.

- ☐ 5
- ☐ 10
- ☐ 25
- ☐ 50
- ☐ 75

☒ UnAttempted

CORRECT ANSWER:

10

Explanation:

According to the Payment of Gratuity Act 1972, any company having more than 10 employees, has to provide gratuity to its employees.

Q 17. Damodar passed away within two years of purchasing a term assurance plan. The insurance company denied the claim, citing fraudulent concealment of significant information. Who bears the responsibility of providing this information?

- ☐ Insurer
- ☐ Agent
- ☐ Insured
- ☐ Nominee
- ☐ Legal Heir

☒ UnAttempted

CORRECT ANSWER:

Insurer

Explanation:

Explanation:

Section 45 of the Insurance Act, 1938 states that two years from the date of policy, the insurance company cannot question the contract unless certain conditions are fulfilled. The Supreme Court of India, in the case of Mithoulal Nayak vs Life Insurance Corporation of India (LIC), summarised the three conditions:

- The information in doubt must be material.
- The suppression must be fraudulently made by the policyholder.
- The policyholder must have known at the time of making the statement that it was false.

The onus of proving that these three conditions are satisfied is on the insurer. Thus, the repudiation of a death claim is done by insurers only after obtaining evidence in support of the fact of suppression.

Q 18. Shailesh has made an investment in a Unit Linked Insurance Plan (ULIP). He allocated last year's premium to an equity fund. Anticipating volatility in the equity market this year, he plans to invest the current year's premium in a debt fund. What is this process referred to as?

- ☐ Transfer
- ☐ Realignment
- ☐ Switching
- ☐ Redirection
- ☐ Readjustment

☒ UnAttempted

CORRECT ANSWER:

Redirection

Explanation:

Redirection: If a policyholder wants to invest his fresh premium in a fund other than his existing fund it is known as redirection. In this case the policyholder can let his previous investments continue in the same fund and route his fresh premium in another fund.

Q 19. Which legislation stipulates the presumption of death if a person has not been heard of for 7 years?

- ☐ IRDAI Act
- ☐ Finance Act
- ☐ Insurance Act
- ☐ Indian Evidence Act
- ☐ Insurance (Amendments) Act 2015

☒ UnAttempted

CORRECT ANSWER:

Indian Evidence Act

Explanation:

Sometimes, a person is reported missing without any information about their whereabouts. The Indian Evidence Act provides for presumption of death in case a person has not been heard of for 7 years.

Q 20. Nitin is planning to buy a child insurance plan for his daughter, Rani, to secure her future education and marriage expenses. Please evaluate the following statements about a child insurance plan and identify the INCORRECT option.

- ☐ Rani is required to have a medical check-up at the start of the risk period.
- ☐ During the deferment period, there is no life insurance coverage for Rani.
- ☐ The risk or insurance coverage on Rani's life will begin on the deferred date.
- ☐ If Rani passes away during the deferment period, Nitin will receive a refund of the premium.
- ☐ The deferment period refers to the time between the start of the policy in Rani's name and the start of the risk on Rani's life.

☒ UnAttempted

CORRECT ANSWER:

Rani is required to have a medical check-up at the start of the risk period.

Explanation:

In case of a child insurance plan, the premium is paid by the parent to fund the child's future requirements like education and marriage expenses. In case of unfortunate death of the parent during the term of the plan the child's future does not suffer. The insurance company generally continues the insurance plan and pays the premium.

Deferred date: the date on which risk commences. This is the date from which the insurance cover on the child becomes applicable. From this date the insurance cover is applicable to the child.

Commencement of the risk: risk will commence automatically on the deferment date. No medical examination is necessary.

Q 21. What does the signature, on the insurance policy document on behalf of the insurance company is called?

- ☐ Stamping
- ☐ Franking
- ☐ Attestation
- ☐ Notarisation
- ☐ Registration

☒ UnAttempted

CORRECT ANSWER:

Attestation

Explanation:

The 'Attestation' is the signature on behalf of the insurer. It appears at the end of the first page of the policy

Q 22. Timeless Investments Company is interested in buying a group term insurance policy for its employees. The premium payment is done _____ for such insurance policies.

- ☐ Monthly
- ☐ Quarterly
- ☐ Half Yearly
- ☐ Yearly
- ☐ One time for a block of 3 years or 5 years

☒ UnAttempted

CORRECT ANSWER:

Yearly

Explanation:

The premium payment in a group insurance policy is annual and is paid by the employer.

Q 23. Rakesh purchased a life insurance policy with a term of 20 years. He took out a loan against his policy in the 15th year. Rakesh passed away within 6 months of taking out the loan. How will the interest on the loan be calculated?

- ☐ Interest will be calculated from the date the loan was taken out until the date of Rakesh's death.
- ☐ The interest will be forgiven because Rakesh died within 6 months of taking out the loan.
- ☐ The interest will be calculated based on the savings account interest rate of the State Bank of India plus 2%.
- ☐ The interest will be calculated for a minimum of 6 months, as this is the minimum period for which interest is charged on loans taken out against any life insurance policy.
- ☐ The interest will be calculated based on the savings account interest rate of the State Bank of India.

☒ UnAttempted

CORRECT ANSWER:

Interest will be calculated from the date the loan was taken out until the date of Rakesh's death.

Explanation:

A policyholder can request for a loan and offer his insurance policy as collateral. The loan amount will depend upon the total surrender value of the insurance policy.

If the policyholder dies within six months of taking the loan, the interest will be charged up to the date of death of the life assured.

Q 24. Which event/s under a life insurance policy can lead to the payment by the life insurance company?

- ☐ Death of the insured person, a specific event outlined in the rider/s, or another specified date
- ☐ Death of the insured person, policy maturity, or a specific event outlined in the rider/s
- ☐ Death of the insured person, policy maturity, a specific event outlined in the rider/s, or another specified date
- ☐ Policy maturity
- ☐ Death of the insured person

☒ UnAttempted

CORRECT ANSWER:

Death of the insured person, policy maturity, a specific event outlined in the rider/s, or another specified date

Explanation:

A life insurance policy specifies when the liability will arise on the insurer to make a payment. This can be on the death of the life insured, on the maturity of the plan, some contingency stipulated in the riders or on some other date. The plan also specifies whether the SA payment will be made lump sum or in instalments.

Q 25. Jeevan is considering purchasing a term insurance policy with a sum assured of 40 Lakhs for a duration of 20 years. He needs to provide a document as proof of his age. Which of the following documents would be accepted as valid proof of age?

- ☐ Certificate of Birth or School Leaving Certificate
- ☐ Certificate of Birth or Passport
- ☐ Certificate of Birth
- ☐ Certificate of Birth or Passport
- ☐ Certificate of Birth, School Leaving Certificate, or Baptism Certificate (for Christians)

☒ UnAttempted

CORRECT ANSWER:

Certificate of Birth, School Leaving Certificate, or Baptism Certificate (for Christians)

Explanation:

Some of the standard age proof/s acceptable to life insurance companies are:

- Certified extract from Municipal or other records made at the time of birth
- Certificate of baptism
- Certified extract from school or college records
- Certified extract from the service register in the case of employees of Government or quasi Government institutions and reputed commercial and educational institutions
- Passport within its validity period
- Identity cards issued by Defence department in case of defence personnel
- Driving License within its validity period

Any other document where the date of birth has been proved on the basis of one of the other standard proofs of age acceptable to insurance companies.

Q 26. As an underwriter in an insurance company, you've received a proposal from Sujata. Upon evaluating Sujata's proposal, you find that the risk is unfavorable at the time of application, but it may become more favorable over time. What is the most appropriate action you can take regarding Sujata's proposal?

- ☐ Approve Sujata's proposal for a shorter term than proposed
- ☐ Reject Sujata's proposal
- ☐ Postpone Sujata's proposal for a certain period
- ☐ Approve Sujata's proposal for a lower sum assured than proposed
- ☐ Approve Sujata's proposal by excluding certain specific risks under the policy

☒ UnAttempted

CORRECT ANSWER:

Postpone Sujata's proposal for a certain period

Explanation:

If the assessment is that the person to be insured is not a standard or normal risk the decision will be :

'Postpone for a specified period' - This decision is made when the assessment is adverse at the point of application but may improve over a period of time.

Q 27. Aamir works as an HR executive with XYZ Life Insurance Company. Based on eligibility criteria for insurance agents, which claim Aamir will reject?

- ☐ An individual who has passed 10th or equivalent examination
- ☐ An individual who is not major
- ☐ An individual who is not of unsound mind
- ☐ An individual who is not found guilty of criminal breach of trust
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

An individual who is not major

Explanation:

The persons who do the job of meeting, explaining and persuading potential customers are called insurance agents.

An insurance agent cannot be a minor.

He/She should not be of unsound mind, not found guilty of criminal breach of trust and should have passed 10th or 12th or equivalent examination.

Q 28. Ajit has made an investment in a Unit Linked Insurance Plan (ULIP). He anticipates that the equity market will experience significant volatility in the coming months. As a result, he wants to move some of his current investment from an equity fund to a debt fund. What is this procedure referred to as?

- ☐ Switching
- ☐ Reshuffle
- ☐ Redirection
- ☐ Realignment
- ☐ Portfolio management

☒ UnAttempted

CORRECT ANSWER:

Switching

Explanation:

Switching: In ULIP, an individual is allowed to transfer his existing investments from one type of fund to another fund. He can switch his existing investments from an equity fund to debt fund / balanced fund / money market fund and vice versa.

Q 29. Sunita has performed an actuarial valuation for Capital Life Insurance Company. The projected premiums to be received are less than the insurer's liabilities. What does this indicate?

- ☐ Capital Life Insurance Company is financially stable.
- ☐ Capital Life Insurance Company is facing a deficit.
- ☐ Capital Life Insurance Company has a surplus.
- ☐ Capital Life Insurance will be capable of handling all claims.
- ☐ Capital Life Insurance Company will be able to generate substantial profits.

☒ UnAttempted

CORRECT ANSWER:

Capital Life Insurance Company is facing a deficit.

Explanation:

In a valuation, the actuary estimates the liability of the insurer in respect of the business in the books. He then estimates the amount of premiums that are due to be received in future, as these will add to the funds to meet the liability. The difference between the two is the fund that the insurer must have, to remain solvent. This is compared with the actual existing life fund. If the present life fund is more, the insurer is solvent.

If the fund is less, the insurer is not solvent. The difference is called a 'deficit'. The method of estimating the liability of the business and of the future premiums is very technical and complex, involving actuarial principles. It has to be done by an actuary with professional qualifications.

- Q 30. Utpal, an underwriter at an insurance company, has received an insurance proposal from Bharti for a sum assured of Rs.60 Lakhs. However, based on Bharti's risk assessment, Utpal has approved the proposal for a sum assured of Rs.40 Lakhs. Interpret and further describe Utpal's decision.
- ☐ Utpal has lessened a portion of the re-insurance for the insurance company.
 - ☐ Utpal has shortened the risk period for the insurance company.
 - ☐ Utpal has lowered the risk level for the insurance company.
 - ☐ Utpal has eradicated the risk for the insurance company.
 - ☐ Utpal has deferred the risk for a certain period for the insurance company.

☒ UnAttempted

CORRECT ANSWER:

Utpal has lowered the risk level for the insurance company.

Explanation:

If the underwriter's decision is to -- 'Accept for a lessen sum assured than proposed', the effect of decision will be that it reduces the risk level of an insurance company.

- Q 31. In life insurance, what is the cause of death other than the proximate cause is called?
- ☐ Isolate cause
 - ☐ Direct cause
 - ☐ Straight cause
 - ☐ Remote cause
 - ☐ Adjacent cause

☒ UnAttempted

CORRECT ANSWER:

Remote cause

Explanation:

While settling accident benefits under a life insurance policy, the insurer has every right to ensure that the cause of death is an accident. The cause that is directly responsible for the death in life insurance is called Proximate Cause or 'Causa Proxima' and the other causes are called remote causes.

- Q 32. Arjun is a key person at Golden Era Private Limited. Evaluate the following statements about key-man insurance and identify the one that is NOT correct.
- ☐ If an unfortunate event occurs to Arjun, Golden Era Private Limited will receive the claim amount.
 - ☐ In the key-man insurance policy, Arjun is the life assured.
 - ☐ Golden Era Private Limited can claim a tax deduction for the premium paid under key-man insurance as it is a business expense.
 - ☐ Only a term assurance plan can be purchased by Golden Era Private Limited on Arjun's life under the key-man insurance.
 - ☐ Arjun, being the policyholder, will pay the premium which will later be reimbursed by Golden Era Private Limited.

☒ UnAttempted

CORRECT ANSWER:

Arjun, being the policyholder, will pay the premium which will later be reimbursed by Golden Era Private Limited.

Explanation:

Key man insurance is the insurance cover extended to an important or key employee of the company, the loss of whom can affect the operations and profitability of the company. Key man refers to an employee, having special skill set or significant responsibilities. His contribution to the company is quite extensive.

Features of key man insurance Based on IRDA guidelines, only Term plan can be bought under the key man insurance. The employer is the policyholder and hence pays the premium.

The key man is the life insured in case something happens to the key man, the claim will be paid to the employer (policyholder) and not the insured. The company gets the money to recover from losses. The premium paid under the key man insurance by the company is treated as business expense and the company can claim deduction from taxable income. The proceeds received by the employer from the policy are taxable.

- Q 33. Refer to some statements related to the guidelines set by the Insurance Regulatory and Development Authority of India (IRDAI) for claim settlement. Identify the statement that is NOT correct.
- ☐ If there is a delay on the part of the claimant, the insurer will pay interest at the savings bank account interest rate
 - ☐ The insurer should make the decision to admit or reject a claim within 30 days of receiving all necessary documents
 - ☐ In the case of a death claim, the insurer should request the necessary documents all at once or in parts, but not more than 3 times
 - ☐ If necessary, investigations for early death claims should be completed within 6 months
 - ☐ If there is a delay in settling the claims, the insurer will pay interest at a rate that is 2% above the savings bank account interest rate

☒ UnAttempted

CORRECT ANSWER:

In the case of a death claim, the insurer should request the necessary documents all at once or in parts, but not more than 3 times

Explanation:

IRDA Regulations require that:

- The insurer should ask for the requirements in case of death claim at one time, and not as piecemeal.

- The decision to admit or to repudiate a claim should be made within 30 days of receipt of all papers.

- Investigations, if necessary should be completed within 6 months

- Interest at 2% above the saving bank interest rate will be payable for delays in settling claims.

- Interest at the bank savings account rate will be paid if there is delay on the part of the claimant

Q 34. Review the following statements related to annuity and identify the one that is INCORRECT.

- ☐ According to IRDAI regulations, Shyam can pay the insurance premium either in a lump sum (if he is over 45 years old) or in instalments (if he is under 35 years old).
- ☐ Shyam will not need to undergo a medical examination to purchase an annuity.
- ☐ The annuity plans offered by the insurance company to Shyam offer a lot of flexibility in terms of the type of annuity that Shyam can choose.
- ☐ The insurance company and Shyam can mutually agree on the annuity payment frequency, which can be monthly, quarterly, or semi-annually.
- ☐ Shyam is buying an annuity to secure a regular income (pension) after retirement or after reaching a certain age.

☒ UnAttempted

CORRECT ANSWER:

According to IRDAI regulations, Shyam can pay the insurance premium either in a lump sum (if he is over 45 years old) or in instalments (if he is under 35 years old).

Explanation:

Annuity is a contract between an individual and the insurance company, in which the individual pays a lump-sum amount or regular payments to the insurance company and at the end of a specified period, the insurance company provides regular income to the individual.

The insurance company and the annuitant can mutually decide the annuity payment which can be either monthly, semi-annually or annually, as preferred by the annuitant.

No medical check-up is required for taking an annuity policy.

There is no such rule like – Payment of premium either in lumpsum (if he is above the age of 45years) or instalments (if he is below the age of 35).

Q 35. Saurabh has purchased a pension plan from TrustUs Life insurance Company. On the vesting date, what portion of the total accumulated amount is Saurabh allowed to withdraw (communication) as a lump sum?

- ☐ 40% of the total accumulated amount
- ☐ 60% of the total accumulated amount
- ☐ 50% of the total accumulated amount
- ☐ 1/3rd of the total accumulated amount
- ☐ 3/4th of the total accumulated amount

☒ UnAttempted

CORRECT ANSWER:

1/3rd of the total accumulated amount

Explanation:

Commutation: On the vesting date, the annuitant has two choices. The annuitant can either start receiving the regular annuity payment from the insurance company or withdraw 1/3rd of the total accumulated amount as a lump sum payment (commuted value) from the remaining balance, and request the insurance company to pay out regular annuity payments.

Q 36. Akshay is interested in purchasing the endowment insurance plan provided by Postal Life Insurance. What is the maximum sum assured under this plan?

- ☐ Rs 10 Lakhs
- ☐ Rs 20 Lakhs
- ☐ Rs 25 Lakhs
- ☐ Rs 30 Lakhs
- ☐ Rs. 50Lakhs

☒ UnAttempted

CORRECT ANSWER:

Rs 10 Lakhs

Explanation:

In an Endowment Insurance Plan offered by Postal Life Insurance, the Maximum sum can be assured can be Rs 10 lakhs.

Q 37. All policies that have been in force for at least three years are entitled to receive a guaranteed surrender value, according to _____ of the insurance Act 1938.

- ☐ Section 42
- ☐ Section 39
- ☐ Section 45
- ☐ Section 38
- ☐ Section 113

☒ UnAttempted

CORRECT ANSWER:

Section 113

Explanation:

As per Section 113 of Insurance Act 1938, all policies which have been in force for at least three years, are entitled to receive a guaranteed surrender value.

Q 38. Bharti has purchased a pension plan from STAR Life Insurance Company. She will begin receiving a regular pension when she turns 60 years old. What is the date from which Bharti will start receiving her regular income?

- ☐ Pay day
- ☐ Vesting date
- ☐ Commutation date
- ☐ Redemption date
- ☐ Commencement date

☒ UnAttempted

CORRECT ANSWER:

Vesting date

Explanation:

Vesting date: the date from which the annuitant starts receiving regular income is known as the vesting date. This date generally coincides with the retirement date of the annuitant.

Q 39. Manav, an actuary at AdWise Life Insurance Company, is responsible for examining the likelihood and risks associated with events such as _____

- ☐ Death and illness
- ☐ Death and disability
- ☐ Illness and disability
- ☐ Death, disability and illness
- ☐ Death, disability, illness and loss of property

☒ UnAttempted

CORRECT ANSWER:

Death, disability, illness and loss of property

Explanation:

Actuaries analyze the financial costs of risk and uncertainty. They use mathematics, statistics, and financial theory to assess the risk of potential events, and they help businesses and clients develop policies that minimize the cost of that risk.

As an actuary, Manav would typically analyze all of these risks as they are all relevant to the field of insurance.

Q 40. Deepak has been advised to invest in a Unit Linked Insurance Plan (ULIP). What benefits can he expect from this investment?

- ☐ It offers insurance protection
- ☐ It offers both insurance protection and investment returns
- ☐ It allows for income tax savings and offers insurance protection
- ☐ It provides returns on investment and allows for income tax savings.
- ☐ It provides insurance coverage, returns on investment, and allows for income tax savings.

☒ UnAttempted

CORRECT ANSWER:

It provides insurance coverage, returns on investment, and allows for income tax savings.

Explanation:

A ULIP can be an ideal investment vehicle for people who are looking for the triple benefits of: insurance protection, investment and income tax benefits.

Q 41. Madhuri is interested in investing in a Unit Linked Insurance Plan (ULIP). She is an individual who prioritizes capital preservation and is content with lower returns. Could you design a ULIP investment fund suitable for Madhuri?

- ☐ Madhuri should consider investing in a fixed income fund.
- ☐ Madhuri should consider investing in a balanced fund.
- ☐ Madhuri should consider investing in a corporate credit fund.
- ☐ Madhuri should consider investing in a money market fund.
- ☐ Madhuri should consider investing in a mid-cap and small cap fund.

☒ UnAttempted

CORRECT ANSWER:

Madhuri should consider investing in a fixed income fund.

Explanation:

A fixed income fund or a debt fund invests major portion of the money in Govt bonds and Govt guaranteed securities.

In these funds it is that the income, being interest on securities and bonds, will be steady and almost guaranteed, but there may not be much capital appreciation.

Q 42. Sagar has purchased a health insurance policy from Quality Insurance Company. Below are some medical expenses that the policy will cover. Which of the following is odd one out?

- ☐ Costs associated with Sagar's dental care
- ☐ Costs associated with Sagar's day care procedures
- ☐ Hospitalization costs where Sagar is hospitalized for over 24 hours
- ☐ Pre-hospitalization costs incurred by Sagar up to 7 days prior to hospitalization
- ☐ Post-hospitalization costs incurred by Sagar up to 15 days following hospitalization

☒ UnAttempted

CORRECT ANSWER:

Costs associated with Sagar's dental care

Explanation:

The hospitalisation charges are paid by the insurance company if the insured is hospitalised for more than 24 hours. Insurance is provided for pre and post hospitalisation treatment as well.

There are some treatments which do require less than 24 hours hospitalisation. Such treatments are covered under day care expenses if they are covered under the policy.

Dental treatment expenses are generally not covered in a normal health insurance policy.

Q 43. XYZ Life Insurance Company is a private life insurance company. Below are some of the functions managed by XYZ Life Insurance Company's head office. Which of the options is NOT correct?

- ☐ Publicity
- ☐ Marketing
- ☐ Underwriting
- ☐ Nomination and assignment
- ☐ Information Technology

☒ UnAttempted

CORRECT ANSWER:

Information Technology

Explanation:

The following departments are likely to be centralised in the Head Offices, as they require specialised skill and impact the whole organisation. Actuarial, studying the claims experience, doing valuations, declaring bonuses, monitoring the adequacy of premiums, developing new products, settling underwriting standards, studying mortality rates, etc.

Investment of funds, studying and using the opportunities for maximising returns Planning, including marketing strategies and net distribution channels Legal, including compliances with IRDA requirements Advertisement, publicity and public relations.

Information Technology is not handled by the head office.

Q 44. Sureshot Life Insurance Company provided Hari with a term life insurance plan. A few months later, the company discovered that Hari had a pre-existing illness that he did not disclose at the time of purchasing the policy. What term is used to describe this situation?

- ☐ Hostile selection
- ☐ Unethical selection
- ☐ Adverse selection
- ☐ Immoral selection
- ☐ Leverage selection

☒ UnAttempted

CORRECT ANSWER:

Adverse selection

Explanation:

Commercial contracts are usually subject to the principle of caveat emptor – let the buyer beware. This principle does not apply to insurance contracts as most of the facts relating to health, habits, personal history, family history that form the basis of a life insurance contract are known only to the proposer. Unless disclosed by the proposer, they cannot be known to the insurer.

Non-disclosure of these facts puts the insurer and the community of policyholders at a disadvantage causing 'adverse selection'.

Q 45. Smith has purchased a money-back assurance plan with a sum assured of Rs.20 Lakhs for a term of 25 years. If Smith were to commit suicide within the first year of the policy, no claims would be paid out and the policy would be rendered null and void. Validate the above condition/privilege and identify its section.

- ☐ Privilege
- ☐ Endorsement
- ☐ Restrictive condition
- ☐ Explanatory condition
- ☐ Supplementary benefit

☒ UnAttempted

CORRECT ANSWER:

Restrictive condition

Explanation:

Restrictive conditions are designed to eliminate certain risks that are not taken into account when determining the premium. A restrictive condition eliminates risk from the insurance contract, therefore, the condition that no claim will be paid if the life insured commits suicide is a restrictive condition.

One common restriction on all policies is that no claim will be paid if the life assured commits suicide in the first year.

Q 46. Mahesh has purchased an endowment plan with a sum assured of Rs.40 Lakhs for a period of 20 years. Additionally, Mahesh has procured an accidental death rider that provides an extra insurance cover of Rs.30 Lakhs. Validate and identify the section under which the above condition will be classified.

- ☐ Explanatory condition
- ☐ Restrictive condition
- ☐ Privilege
- ☐ Endorsement
- ☐ Supplementary benefit

☒ UnAttempted

CORRECT ANSWER:

Supplementary benefit

Explanation:

Supplementary benefits are the benefits that are covered by riders. They may be incorporated in the policy document as policy conditions or they may be mentioned as riders, while the policy document deals with the standard terms and conditions.

Q 47. Shubham is employed as an Actuary at STAR Life Insurance Company. In his professional capacity, what would Shubham be expected to handle?

- ☐ Management of risk
- ☐ Uncertainty
- ☐ Management of risk and uncertainty
- ☐ Management and measurement of risk
- ☐ Management and measurement of risk and uncertainty

☒ UnAttempted

CORRECT ANSWER:

Management and measurement of risk and uncertainty

Explanation:

An actuary is a professional who handles the measurement and management of risk and uncertainty. The field is actuarial science which is a discipline that uses mathematical and statistical methods to assess the financial risks in the insurance and finance fields.

Actuaries' work is essential to the insurance industry.

Q 48. Manisha has purchased a retirement plan from Lotus Life Insurance Company. Upon reaching the vesting date, Manisha has the choice to take out a lump sum amount, which is one-third of the total accumulated funds. What is this procedure referred to as?

- ☐ Redemption
- ☐ Vesting
- ☐ Reclamation
- ☐ Commutation
- ☐ Partial withdrawal

☒ UnAttempted

CORRECT ANSWER:

Commutation

Explanation:

Commutation: on the vesting date, the annuitant has two choices. The annuitant can either start receiving the regular annuity payment from the insurance company or withdraw 1/3rd of the total accumulated amount as a lump sum payment (commuted value) from the remaining balance, and request the insurance company to pay out regular annuity payments.

This process is known as commutation.

- Q 49. Yogesh and Ajay, executives at Salvage Life Insurance Company, are debating the differences between a policy with a longer term and a policy with a shorter term. Please help them identify the statement that is NOT correct.
- ☐ The policy tenure (longer/shorter) is neutral with regards to the risk involved and premium collection.
 - ☐ For a life insurance company, the risk is higher in a policy with a longer term than in a policy with a shorter term.
 - ☐ From the perspective of the life insurance company, the likelihood of a person's death is higher in a policy with a longer term than in a policy with a shorter term.
 - ☐ In aggregate, the total premium collected by the life insurance company over the entire term would be higher in a longer-term insurance plan than in a shorter-term plan.
 - ☐ Due to the practice of level premium, the tabular premium charged (per annum) by the life insurance company would be higher for a policy with a longer term than for a policy with a shorter term.

☒ UnAttempted

CORRECT ANSWER:

Due to the practice of level premium, the tabular premium charged (per annum) by the life insurance company would be higher for a policy with a longer term than for a policy with a shorter term.

Explanation:

The risk (of death) is more in a policy with a longer term than in a policy with a shorter term. But because of the practice of level premium, the tabular premium charged (per annum), would be less for a longer term policy than for a shorter term policy.

On the aggregate, the total premium over the entire term would be higher in the longer term plan than in the shorter term plan.

- Q 50. Tasty Foods Private Limited has set up a gratuity fund to make gratuity payments to its employees. What is the nature of this gratuity fund?
- ☐ It is Retractable
 - ☐ It is Repeal able
 - ☐ It is Irrevocable
 - ☐ It is Reversible
 - ☐ It is Rescindable

☒ UnAttempted

CORRECT ANSWER:

It is Irrevocable

Explanation:

Methods of gratuity payment :

Setting up a Gratuity Fund - The company may set up a Gratuity Fund as an irrevocable trust. The trustees will manage the investments of the fund comprising the contributions, and make payments of gratuity from the fund.

- Q 51. Review the following statements related to Advance Insurance Brokers Limited and choose the statement which is NOT correct.
- ☐ Advance Insurance Brokers Limited will receive a commission from the insurer.
 - ☐ Advance Insurance Brokers Limited can only conduct business with five life insurance companies of their choice.
 - ☐ Advance Insurance Brokers Limited operates independently and is not affiliated with any specific insurer.
 - ☐ Advance Insurance Brokers Limited will act on behalf of the customer and prioritize the customer's interests above all.
 - ☐ Advance Insurance Brokers Limited serves as a mediator for the customer and the insurance company.

☒ UnAttempted

CORRECT ANSWER:

Advance Insurance Brokers Limited can only conduct business with five life insurance companies of their choice.

Explanation:

Insurance brokers are independent and not attached with any particular insurer. A broker usually does business with more than one insurance company. An insurance broker is someone who represents more than one insurance company, unlike an insurance agent who represents only one insurance company.

A broker is a mediator between the customer and the insurance companies, charging commission only from the insurer.

- Q 52. Palak has made an investment in a Unit Linked Insurance Plan (ULIP). After the deduction of expenses from her premium, Rs. 20,000 will be invested in a fund of her choice. The current Net Asset Value (NAV) of a unit is Rs. 8. How many units will be allocated to Palak?
- ☐ 2500
 - ☐ 112500
 - ☐ 56250
 - ☐ 1000
 - ☐ 2000

☒ UnAttempted

CORRECT ANSWER:

2500

Explanation:

Units allotted = Net Premium Amount / NAV

= 20000 / 8

= 2500

Q 53. Shreenath purchased a with-profits endowment plan with a sum assured of Rs. 80 Lakhs for a tenure of 12 years. After eight years, due to financial difficulties, Shreenath was unable to pay the premium and converted the policy into a reduced paid-up value policy. Which of the following statements is accurate in this case?

- ☐ The bonus will not accrue on Shreenath's policy any further
- ☐ The bonus will continue to accrue on Shreenath's policy at 10% of the full rate
- ☐ The bonus will continue to accrue on Shreenath's policy at 50% of the full rate
- ☐ The bonus will continue to accrue on Shreenath's policy at the full rate
- ☐ The bonus will continue to accrue on Shreenath's policy at a reduced rate, proportional to the reduced sum assured

☒ UnAttempted

CORRECT ANSWER:

The bonus will not accrue on Shreenath's policy any further

Explanation:

Under the option of the reduced paid-up value, the policy continues to be in force, with the only change that the SA (Sum Assured) will stand reduced to a lower figure. The reduced SA is such that it bears the same ratio to the full SA, as the number of premiums actually paid bears to the total number originally stipulated to be paid.

Reduced Paid-Up policies will not participate in future bonuses.

Q 54. Equity funds are one of the investment options offered by ULIPs to the investors. What is the other name for Equity funds?

- ☐ Gilt funds
- ☐ Growth funds
- ☐ Liquid funds
- ☐ Arbitrage funds
- ☐ Fixed income funds

☒ UnAttempted

CORRECT ANSWER:

Growth funds

Explanation:

Equity funds invest major portion of the money in equity and equity related instruments which aim at long term capital appreciation.

Such funds are also known as Growth Funds.

Q 55. Consider the following scenarios where a life insurance policy might allow for an increase in the Sum Assured (SA). Which of these options is not correct?

- ☐ Marriage
- ☐ Child birth
- ☐ Purchase of a house
- ☐ Certain policy anniversaries
- ☐ Achievement of certain milestones

☒ UnAttempted

CORRECT ANSWER:

Achievement of certain milestones

Explanation:

Some plans provide the option of increasing the SA on happening of important events like marriage, purchase of a house, childbirth or certain policy anniversaries.

(Some plans also provide the option of reducing the SA on happening of events like reduction of liabilities under a mortgage, achievement of certain milestones / objectives or certain policy anniversaries)

Q 56. Alka has purchased a whole life assurance plan. Analyze and identify what this plan consists of.

- ☐ It combines a pure term assurance plan with a specified tenure and a pure term assurance plan with an unspecified period.
- ☐ It combines a pure endowment assurance plan with a specified tenure and two pure endowment assurance plans with an unspecified period.
- ☐ It combines a pure endowment assurance plan and a term assurance plan, both with an unspecified period.
- ☐ It combines a pure endowment assurance plan and a term assurance plan, both with a specified period.
- ☐ It combines a pure endowment assurance plan with a specified tenure and a pure endowment plan with an unspecified period.

☒ UnAttempted

CORRECT ANSWER:

It combines a pure endowment assurance plan and a term assurance plan, both with an unspecified period.

Explanation:

Whole life insurance plan as the name suggests provides insurance cover for the whole life of the individual. It could also be termed as a combination of pure endowment plan and term insurance plan with an unspecified period, as the total term for which the individual will live cannot be determined.

The sum assured along with bonus, if applicable, will be paid to the beneficiary on death of the insured.

Q 57. Jeevan works as a fund Manager with XYZ Life insurance Company and is aggressive in his approach. He has a risk taking approach and target earning higher returns for his investors. From the above information, identify the fund Jeevan is managing.

- ☐ Jeevan is managing a debt fund
- ☐ Jeevan is managing an equity fund
- ☐ Jeevan is managing a balanced fund
- ☐ Jeevan is managing a bond fund
- ☐ Jeevan is managing a money market fund

☒ UnAttempted

CORRECT ANSWER:

Jeevan is managing an equity fund

Explanation:

Equity fund : This fund invests major portion of the money in equity and equity related instruments. This fund is for those investors who are willing to take high risk and are looking for high returns.

Q 58. Surbhi has recently started her career as an insurance agent at AdWise Life Insurance Company. She is seeking guidance about the surrender value factor. Can you help her with the same.

- ☐ The surrender value factor decreases as the policy term increases.
- ☐ The surrender value factor decreases as the policy term decreases.
- ☐ The surrender value factor increases as the policy term increases.
- ☐ The policy term does not affect the surrender value.
- ☐ The surrender value is independent of the policy term and is influenced by the premium payment mode.

☒ UnAttempted

CORRECT ANSWER:

The surrender value factor decreases as the policy term increases.

Explanation:

Surrender value is usually a percentage of premiums paid or a percentage of the paid up value. The higher the policy term, the lower is the surrender value factor. It does not depend on the actual premium or the mode of premium.

Q 59. Navita has purchased a double endowment assurance plan. If Navita passes away during the term of the plan, her beneficiary will receive Rs.10 Lakhs. If Navita survives the term of the plan, she will receive Rs.20 Lakhs. Can you analyze and identify the components of this plan?

- ☐ It is a combination of a term assurance plan of Rs.10 Lakh and a pure endowment assurance plan of Rs.20 Lakhs.
- ☐ It is a combination of a term assurance plan of Rs.10 Lakhs and two pure endowment assurance plans of Rs.20 Lakhs each.
- ☐ It is a combination of a term assurance plan of Rs.10 Lakh (death cover) and two term assurance plans of Rs.10 Lakhs each (survival benefit).
- ☐ It is a combination of a pure endowment assurance plan of Rs.10 Lakh (death cover) and two pure endowment assurance plans of Rs.10 Lakhs each (survival benefit).
- ☐ It is a combination of a pure endowment assurance plan of Rs. 20 Lakhs (survival benefit) and a pure endowment assurance plan of Rs. 10 Lakhs (death cover).

☒ UnAttempted

CORRECT ANSWER:

It is a combination of a term assurance plan of Rs.10 Lakh and a pure endowment assurance plan of Rs.20 Lakhs.

Explanation:

Double endowment insurance plan is a combination of term assurance plan and double pure endowment plan under which the amount payable on survival is double the amount payable on death.

Q 60. What would be the objective of a 32-year-old individual named Manik who wants to invest in an annuity?

- ☐ To cater to financial needs after retirement
- ☐ To cater to financial needs before retirement
- ☐ To cover medical expenses during old age
- ☐ To leave it as an estate for his legal heirs
- ☐ To cater to financial needs after retirement or during old age

☒ UnAttempted

CORRECT ANSWER:

To cater to financial needs after retirement or during old age

Explanation:

Annuities are investments made by an individual with the aim of receiving regular income on a periodic basis after a specified period or immediately.

Individuals invest in annuity to meet their post retirement or old age financial needs.

Q 61. Anand is planning to purchase an annuity plan from Best Life Insurance Company. The premium that Anand will pay could depend on which of the following factors?

- ☐ Anand's future financial obligations and the amount that Anand has invested in other schemes along with the returns he anticipates from them.
- ☐ Anand's future financial obligations, the amount that Anand has invested in other schemes, the returns he anticipates from them, and the income that Anand expects at the time of retirement.
- ☐ The income that Anand expects to have at the time of retirement.
- ☐ The amount that Anand has invested in other schemes and the returns he expects from them.
- ☐ Anand's future financial obligations.

☒ UnAttempted

CORRECT ANSWER:

Anand's future financial obligations, the amount that Anand has invested in other schemes, the returns he anticipates from them, and the income that Anand expects at the time of retirement.

Explanation:

The amount that the annuitant pays as premium for annuity to insurance companies depends upon several factors such as:

The regular income that the annuitant expects at the time of retirement: the premium amount depends upon the current income of the individual and the amount that they can spare towards premium payment.

The amount that they have invested in other schemes and the returns that they expect: this helps the annuitant in evaluating the income they expect to receive in future and the amount they require for retirement.

Their future financial liabilities such as home loan, child education, medical expenses etc.

Q 62. Given the following individuals, who is likely to have the highest insurance premium, assuming all other factors are equal?

- ☐ Ritu, a 24-year-old smoker who works in a flower shop
- ☐ Atul, a 24-year-old smoker who works in a furniture store
- ☐ Varad, a 25-year-old smoker and occasional drinker who is currently pursuing an MBA
- ☐ Vishal, a 25-year-old non-smoker who works in a department store
- ☐ Nisha, a 25-year-old non-smoker who works in a movie theater

☒ UnAttempted

CORRECT ANSWER:

Atul, a 24-year-old smoker who works in a furniture store

Explanation:

Smokers are generally charged higher premium. From the above options, smoker working in a furniture shop presents higher risk as compared to a working in florist shop or studying in a MBA college.

Q 63. Vidya is reviewing the supplementary benefits of her insurance policy. How will these affect Vidya?

- ☐ Supplementary benefits will clarify the terms of Vidya's policy.
- ☐ Supplementary benefits will provide additional benefits to Vidya.
- ☐ Supplementary benefits will enhance the benefits of Vidya's assurance.
- ☐ Supplementary benefits will restrict the scope of Vidya's assurance.
- ☐ Supplementary benefits will outline the provisions of the Insurance Act applicable to Vidya's policy.

☒ UnAttempted

CORRECT ANSWER:

Supplementary benefits will enhance the benefits of Vidya's assurance.

Explanation:

Supplementary benefits are the benefits that are covered by riders.

Some plans offer additional or supplementary benefits by way of riders in addition to the basic cover.

Q 64. Choose the most appropriate option for the following: In a life insurance plan, who can be the life assured under a single policy?

- ☐ A minor
- ☐ An individual adult
- ☐ An individual adult
- ☐ An individual adult, or two or more people jointly
- ☐ An individual adult, a minor, or two or more people jointly

☒ UnAttempted

CORRECT ANSWER:

An individual adult, a minor, or two or more people jointly

Explanation:

The life insured person can be an individual adult, minor or two or more people, jointly, under one policy.

Master policy: As a group is considered as a single unit, a single policy known as a master policy is issued to the authorised person of the group who pays the premium. The individual are the beneficiaries.

Q 65. "Can you provide an example of supplementary benefits in an insurance policy document for Jonny (the life assured)?"

- ☐ In the event of death due to an accident, Jonny may avail an additional benefit over and above the sum assured through an accidental death benefit rider.
- ☐ If any information provided by Jonny on the proposal form is found to be false, the policy will become null and void, and all benefits under the policy will cease."
- ☐ Jonny will be granted a 15-day grace period to pay the premium in case of monthly mode of premium payment, after the due date.
- ☐ If Jonny commits suicide within the first year of the policy, no claim will be paid to his nominee.
- ☐ If Jonny fails to pay the premium by the due date, the policy will become null and void, and all benefits under the policy will cease.

☒ UnAttempted

CORRECT ANSWER:

In the event of death due to an accident, Jonny may avail an additional benefit over and above the sum assured through an accidental death benefit rider.

Explanation:

Supplementary benefits are the benefits that are covered by riders.

Some plans offer additional or supplementary benefits by way of riders in addition to the basic cover.

The other options are either Explanatory conditions or Restrictive conditions.

Q 66. Prasad, a 32-year-old healthy individual and the sole breadwinner of his family, wishes to enhance his life insurance coverage at regular intervals in the future without undergoing additional medical examinations. Which rider would be most suitable for him?

- ☐ Waiver of premium rider
- ☐ Accidental death benefit rider
- ☐ Disability income benefit rider
- ☐ Guaranteed insurability option rider
- ☐ Increase death benefit rider

☒ UnAttempted

CORRECT ANSWER:

Guaranteed insurability option rider

Explanation:

Guaranteed insurability option rider: Choosing this rider helps in increasing the insurance cover at regular intervals, without further medical examination. This option could be exercised, by young individuals, when their earnings are low, and with time, when their income increases, along with their liabilities, they can buy additional insurance cover.

So even if one develops some kind of medical illness in due course of time, the insured can increase his insurance cover without undergoing any medical check-ups.

Q 67. Here are some statements about the commission paid to insurance agents. Evaluate these statements and identify the one which is NOT correct.

- ☐ A bonus commission might be awarded on the first-year premium as a performance incentive
- ☐ The agent's commission is determined as a percentage of the sum insured
- ☐ The rate of bonus commission may rise as the first-year commission amount increases
- ☐ The commission percentage payable can vary from year to year
- ☐ The commission percentage payable can differ between products

☒ UnAttempted

CORRECT ANSWER:

The agent's commission is determined as a percentage of the sum insured

Explanation:

Commission to agents is specified as a percentage of premiums paid.

The percentage may differ from year to year and from product to product. Bonus commission may be payable on the first year premium as an incentive for higher performance. This could be a percentage of the eligible first year commission. The rates of percentage may increase as the amount of first year commission increases.

Q 68. What must be done to a policy document for it to be legally enforceable in a court of law?

- ☐ It must be stamped
- ☐ It must be signed
- ☐ It must be signed and stamped
- ☐ It must be signed, stamped, and registered
- ☐ It must be signed, stamped, and notarised

☒ UnAttempted

CORRECT ANSWER:

It must be signed and stamped

Explanation:

In order for the policy document to be enforced in a court of law, it must be signed and stamped as per the Stamp Act.

Q 69. Study the given statements related to individual agents and choose the INCORRECT statement.

- ☐ An agent acts on behalf of the principal
- ☐ Agents may be individuals or corporate bodies
- ☐ An agent has to be licensed by the IRDAI under the Insurance Act
- ☐ An agent can work with only three life insurers of their choice
- ☐ An agent has to do the job of meeting, explaining, and persuading potential customers

☒ UnAttempted

CORRECT ANSWER:

An agent can work with only three life insurers of their choice

Explanation:

The persons who do the job of meeting, explaining and persuading potential customers are called insurance agents.

Agents have to be licensed from the IRDA under the Insurance Act. A licensed agent can work with only one life insurer of their choice. Agents may be individuals or corporate bodies.

Q 70. As per the regulations of the Insurance Regulatory and Development Authority of India (IRDAI), the prospectus of an insurance company should contain:

- ☐ The various plans offered, whether they are participating or non-participating, terms and conditions, and riders and their scope
- ☐ The various plans offered, whether they are participating or non-participating, and riders and their scope
- ☐ The various plans offered and terms and conditions
- ☐ The various insurance plans offered and whether they are participating or non-participating
- ☐ The various plans offered, whether they are participating, and terms and conditions

☒ UnAttempted

CORRECT ANSWER:

The various plans offered, whether they are participating or non-participating, terms and conditions, and riders and their scope

Explanation:

In terms of the IRDA regulations, the prospectus some of the details are listed below:

The various insurance plans offered the terms and conditions whether the policy is "participating" (with bonus) or "non-participating" (without bonus)

The riders available along with that policy and the scope of the riders.

Q 71. In case of _____ plan, the days of grace clause is not enforced.

- ☐ Salary savings scheme
- ☐ Whole life assurance plan
- ☐ Unit linked insurance plan
- ☐ Child plan
- ☐ Money back assurance plan

☒ UnAttempted

CORRECT ANSWER:

Salary savings scheme

Explanation:

If a policyholder does not pay premium on the due date, the policyholder gets some days of grace during which the policyholder can pay the premium. If the policyholder doesn't pay the premium within the grace period then the policy lapses.

The 'days of grace' clause is not enforced in Salary Saving Scheme (SSS) cases.

In case of SSS policies, premiums are deducted from the employee's salary before it is paid to him. If deduction has been made by the employer, the premium is deemed to have been paid on time, even if it is received late.

Q 72. In which type of premium is the premium amount set to remain constant for the entire duration of the policy term?

- ☐ EMI
- ☐ Constant
- ☐ Fixed
- ☐ Level
- ☐ Steady

☒ UnAttempted

CORRECT ANSWER:

Level

Explanation:

In level premium, the premium amount is fixed for the entire period of the policy term. If the total policy term is for 20 years, then, the same premium amount is fixed for the entire term of the policy.

Q 73. The information provided in a life insurance company's prospectus includes:

- ☐ The setup of the company
- ☐ The insurance plans available
- ☐ The setup of the company and the insurance plans available
- ☐ The insurance plans available and the general terms and conditions
- ☐ The setup of the company, the insurance plans available, and the general terms and conditions

☒ UnAttempted

CORRECT ANSWER:

The setup of the company, the insurance plans available, and the general terms and conditions

Explanation:

Prospectus generally gives details regarding the setup of the company, the insurance plans they offered and general terms and conditions.

Q 74. Neeta is working with Metro Piping Private Limited. Verify the below statements related to gratuity payment and determine the INCORRECT statement.

- ☐ Metro Piping Private Limited will have to pay Neeta a 15-day salary for each completed year of service.
- ☐ Metro Piping Private Limited will calculate Neeta's gratuity amount based on the number of years of service completed and her last drawn salary.
- ☐ The gratuity received by Neeta from Metro Piping Private Limited will be tax-free.
- ☐ Metro Piping Private Limited will only pay gratuity to those employees who are on the company's direct payroll.
- ☐ Neeta must complete five years of continuous service with Metro Piping Private Limited to be eligible for gratuity payment.

☒ UnAttempted

CORRECT ANSWER:

The gratuity received by Neeta from Metro Piping Private Limited will be tax-free.

Explanation:

Gratuity Eligibility: only those employees who are on direct payroll of the company come under the purview of Gratuity Act. The employee needs to complete 5 years of continuous service in the organisation, to be eligible for payment of gratuity.

Gratuity calculation: gratuity is calculated based on the number of years of service completed by the employee and the last salary drawn. The employer has to pay 15 days salary for each completed year of service. Gratuity upto a certain limit are tax free.

Thus, Gratuity is not completely tax free.

Q 75. Manish is interested in buying a Unit Linked Insurance Plan (ULIP) and is ready to take on high risk for the potential of high returns. Suggest an ULIP investment options to Manish from the following.

- ☐ Manish could consider investing in a commodities fund.
- ☐ Manish could consider investing in a bond fund.
- ☐ Manish could consider investing in an equity fund.
- ☐ Manish could consider investing in a balanced fund.
- ☐ Manish could consider investing in a money market fund.

☒ UnAttempted

CORRECT ANSWER:

Manish could consider investing in an equity fund.

Explanation:

Equity funds invest major portion of the money in equity and equity related instruments which aim at long term capital appreciation. This fund is for those investors who are willing to take high risk and are looking for high returns.

Such funds are also known as Growth Funds.

Q 76. Rose was born on August 5, 1986, and her insurance plan commenced on June 7, 2018. The insurance company calculates her age based on the 'age last birthday' method. What would be Rose's age according to this method?

- ☐ 31 Years
- ☐ 30 Years
- ☐ 35 Years
- ☐ 32 Years
- ☐ 33 Years

☒ UnAttempted

CORRECT ANSWER:

31 Years

Explanation:

Age last birthday: this method is also known as actual age method. In this method insurance companies calculate age based on the last birthday. In other words the age is taken as on the birthday coming before the commencement of policy.

The age is considered in terms of completed years.

Rose's age will be considered from 5th August 1986 to 5th August 2017 = 31 years.

Q 77. Which of the following term is used for arrangements made to enable the organisation, to carry-out its activities necessary in the course of business?

- ☐ Classifying
- ☐ Organising
- ☐ Arranging
- ☐ Assembling
- ☐ Positioning

☒ UnAttempted

CORRECT ANSWER:

Organising

Explanation:

The word 'organising' refers to the arrangements made to enable the organisation to carry out its activities, which are necessary in the course of business.

The main purpose behind organising is to ensure smooth functioning of the activities of an organisation.

Organising is to set up different levels of offices or departments and sections, with distinct levels of responsibilities for supervision and to staff them with people having competence and authority to carry out the responsibilities.

Q 78. Aryan has purchased an Annuity plan from XYZ Life Insurance Company. After making regular contributions for 15 years, he has accumulated Rs. 12,00,000 with the insurance company. Aryan decides to commute 1/3rd of the accumulated amount. What will be the amount that the insurance company uses to make regular annuity payments?

- ☐ Rs. 500000
- ☐ Rs. 400000
- ☐ Rs. 700000
- ☐ Rs. 800000
- ☐ Rs. 1200000

CORRECT ANSWER:

Rs. 800000

Explanation:

Aryan has decided to commute (withdraw) 1/3rd of the accumulated amount.

$1/3 \times 1200000 = 400000$

When Rs. 400000 is withdrawn, balance left is Rs. 800000 (1200000-400000).

This Rs. 800000 will be the amount used by the insurance company to making regular annuity payments.

Q 79. The ULIP fund which invests in financial instruments with a maturity period of less than one year are _____.

- ☐ Debt fund
- ☐ Arbitrage fund
- ☐ Equity fund
- ☐ Money market fund
- ☐ Balanced fund

☒ UnAttempted

CORRECT ANSWER:

Money market fund

Explanation:

Money market fund invests in instruments with maturity period of less than one year.

The money market is the financial market where short-term financial assets with a maturity period of one year or less are traded.

Q 80. Mehul is interested in purchasing a Unit Linked Insurance Plan (ULIP). He is comfortable with moderate risk and is seeking moderate returns. Which ULIP investment fund would you suggest for Mehul?

- ☐ Mehul should consider investing in an international fund
- ☐ Mehul should consider investing in a fixed income fund
- ☐ Mehul should consider investing in sectorial fund
- ☐ Mehul should consider investing in a balanced fund
- ☐ Mehul should consider investing in an arbitrage fund

☒ UnAttempted

CORRECT ANSWER:

Mehul should consider investing in a balanced fund

Explanation:

A balanced or mixed fund invests in both equities and fixed income securities, aiming to balance the risk and return.

This fund is for those investors who are willing to take moderate risk and are looking for moderate returns.

Q 81. Aditi has purchased an endowment assurance plan with a sum assured of Rs. 30 Lakhs for a term of 20 years. If Aditi passes away during the term of the plan, her nominee will receive Rs. 30 lakhs plus the accumulated bonus. If Aditi survives the entire term, she will receive Rs.30 Lakhs plus the bonus. Analyze and explain the components of Aditi's endowment assurance plan:

- ☐ Two pure endowment assurance plans
- ☐ Two pure term assurance plan and one whole life assurance plan
- ☐ One pure term assurance plan and one whole life assurance plan
- ☐ One pure assurance plan and one pure endowment assurance plan
- ☐ One pure endowment assurance plan and one term assurance plan

☒ UnAttempted

CORRECT ANSWER:

One pure endowment assurance plan and one term assurance plan

Explanation:

This endowment assurance plan is a combination of the below two plans:

One pure endowment plan which will pay Rs. 30 lakhs + bonus if the insured survives the entire tenure of the policy of 20 years and One term assurance plan which will pay Rs. 30 lakhs + bonus if the insured dies during the tenure of the policy.

Under such a plan the sum assured (SA) is paid on survival of the specified period or on death, whichever is earlier.

Q 82. Mahima who has undergone a risk assessment and risk profiling sessions, has been suggested to invest in an ULIP money market fund. Based on the above information, what can be Mahima's risk profile?

- ☐ Mahima is willing to take high risk and is looking for high returns on her investment
- ☐ Mahima is willing to take high risk and is satisfied with moderate to low returns on her investment.
- ☐ Mahima is not willing to take high risk and is satisfied with less but guaranteed returns on her investment.
- ☐ Mahima wants to preserve her capital and is satisfied with lesser returns on her investment
- ☐ Mahima is willing to take moderate risk and looking for moderate returns on her investment

☒ UnAttempted

CORRECT ANSWER:

Mahima wants to preserve her capital and is satisfied with lesser returns on her investment

Explanation:

Money Market fund invests money mainly in instruments such as Treasury Bills, Certificates of Deposits, Commercial papers etc.

This fund is for those investors who want to preserve their capital and are satisfied with lesser returns.

Q 83. Review the following statements related to Industrial Life Assurance and identify the INCORRECT statement.

- ☐ Nowadays, Industrial Life Assurance is not as popular because the mortality rate of low-income workers is higher compared to other segments.
- ☐ The insurance coverage is modest, and the policy offers either a cash benefit upon maturity or a death cover if the policyholder dies before the policy term ends.
- ☐ The agent is given a receipt book. After the premium is collected by the agent, the policyholder must sign it.
- ☐ This plan provides insurance coverage to low-income families.
- ☐ In this plan, the premiums are small amounts that are usually paid monthly or weekly.

☒ UnAttempted

CORRECT ANSWER:

The agent is given a receipt book. After the premium is collected by the agent, the policyholder must sign it.

Explanation:

Industrial life insurance refers to a low cost insurance plan. Premiums are of small amounts that are paid monthly or normally weekly. The insurance coverage is modest and the benefit offered with the policy is either cash benefit on maturity or death cover in case of death before the tenure of the policy ends. Such products by insurance companies are important as they provide insurance cover to low income families.

Industrial life insurance is not very popular now-a-days as the mortality rate of low income workers is high as compared to other segments. The administrative cost of industrial insurance is also high as the agent has to personally visit each policyholder every week to collect the premiums.

Receipt books: the policyholders are issued a receipt book each. The agent makes an entry into the receipt book when he collects the premium. The agent has to sign the receipt book as a proof that the payment has been collected by him.

Q 84. Nidhi has purchased a term assurance plan from WeAdvisor Life Insurance Company. Please verify the following statements related to the term assurance plan and point out the one that is not correct.

- ☐ The term assurance plan Nidhi has will not accumulate any surrender value.
- ☐ Nidhi's term assurance plan will only provide coverage in the event of her death.
- ☐ Nidhi's term assurance plan will provide coverage in case of death for a specific period she chose, and also offers survival benefits after that period.
- ☐ Given all other factors are equal, the premium Nidhi pays for her term assurance plan will be the lowest compared to other life assurance plans.
- ☐ The term assurance plan that Nidhi purchased is considered the most fundamental form of life assurance.

☒ UnAttempted

CORRECT ANSWER:

Nidhi's term assurance plan will provide coverage in case of death for a specific period she chose, and also offers survival benefits after that period.

Explanation:

The most basic insurance plan that is available in the market is a term insurance plan. In fact term insurance is referred to as the purest form of life insurance, as it provides protection against risks to life.

Term insurance provides only death cover i.e. the sum assured is paid to the nominee / beneficiary if the insured dies during the tenure of the policy. There are no survival benefits.

Premiums paid under term insurance plan are lowest as compared to the other life insurance plans.

Q 85. Rupali has made an investment in a ULIP and has been consistent with her premium payments for the past 8 years. However, this year, she is unable to make the premium payment due to financial difficulties. What term does the insurance company use to refer to this situation?

- ☐ Premium holiday
- ☐ Premium delay
- ☐ Premium waiver
- ☐ Premium suspension
- ☐ Premium moratorium

☒ UnAttempted

CORRECT ANSWER:

Premium holiday

Explanation:

Policyholders may not pay the premium in a year, subject to certain conditions. If that happens, no new units will be added to his fund but some unit will be reduced to pay for the annual charges like for cover, administration, fund management etc.

This is called a premium holiday.

Q 86. Spot the differences between nomination and assignment and choose the INCORRECT option.

- ☐ If the nominee (Kalidas) passes away, the rights of the policy revert back to the policyholder or his/her legal heirs. If the absolute assignee (Kalidas) passes away, his legal heirs are entitled to policy benefits.
- ☐ If the nominee (Kalidas) dies before the settlement of a death claim, the claim will be payable to the legal heirs of the life assured. If the assignee (Kalidas) dies before the settlement of a death claim, the claim will be payable to the legal heirs of the assignee (Kalidas).
- ☐ Section 39 of the Insurance Act pertains to nomination, while Section 38 of the Insurance Act pertains to assignment.
- ☐ In the case of nomination (in favour of Kalidas), the policyholder retains control over the policy. In the case of assignment (in favour of Kalidas), the policyholder loses control over the policy.
- ☐ Creditors cannot attach the insurance policy, which has a nomination (Kalidas). Creditors can attach the insurance policy, which has been assigned (to Kalidas).

☒ UnAttempted

CORRECT ANSWER:

Creditors cannot attach the insurance policy, which has a nomination (Kalidas). Creditors can attach the insurance policy, which has been assigned (to Kalidas).

Explanation:

The process of transferring the title, rights and interest on assets or property from one person to another is known as assignment. Assignment is generally done to provide security against loan.

Nomination is the right provided to the policyholder to appoint a certain person, who will receive the benefits of the policy in case of the policyholder's death during the policy term.

Creditors can attach the insurance policy which has a nomination in it. Creditors cannot attach the assigned policy unless the assignment is shown to have been made to defraud the creditors.

Q 87. Imagine a scenario where you are an underwriter at an insurance company and receive a proposal from Mitali, where the risk level is slightly higher than a standard case. How would you mitigate the risk for your insurance company?

- ☐ Reject Mitali's proposal.
- ☐ Approve Mitali's proposal, but exclude certain specific risks under the policy.
- ☐ Approve Mitali's proposal for a different plan than initially proposed.
- ☐ Approve Mitali's proposal for a shorter duration than initially proposed.
- ☐ Approve Mitali's proposal for a lower sum assured than initially proposed.

☒ UnAttempted

CORRECT ANSWER:

Approve Mitali's proposal for a lower sum assured than initially proposed.

Explanation:

If the assessment is that the person to be insured is not a standard or normal risk the decision will be one of the following:

- accept for a lesser sum assured than proposed
- accept for a shorter term than proposed
- accept for a different plan than proposed
- charge a higher premium than the standard rate
- impose a lien which reduces the insurers liability under the policy for a period of time or under certain conditions
- exclude certain specified risks under the policy
- postpone for a specified period
- decline

As the risk level is slightly higher than a standard case, the proposal can be accepted for a lesser sum assured than proposed.

Q 88. Select the correct option by considering the following scenarios in an insurance policy document for Ravi (the life assured).

- ☐ If Ravi provides any false information on the proposal form, the policy will be cancelled, and all benefits under the policy will be forfeited.
- ☐ Ravi will be granted a grace period of 15 days after the due date to pay the premium, in case of monthly mode of premium payments.
- ☐ If Ravi commits suicide within the first year of the policy, no claim will be paid to Ravi's nominee.
- ☐ Ravi may receive an additional benefit over and above the basic sum assured through an accidental death benefit rider, if death occurs due to an accident.
- ☐ If Ravi fails to pay the premium by the due date, the policy will be cancelled, and all benefits under the policy will be forfeited.

☒ UnAttempted

CORRECT ANSWER:

Ravi will be granted a grace period of 15 days after the due date to pay the premium, in case of monthly mode of premium payments.

Explanation:

Privileges add to the benefits of the insurance and provide privileges.

Providing grace period to make the premium payment is a privilege given to the policy holders.

Q 89. Mehek is a Fund Manager at the BestOfAll Life Insurance Company. She prefers a conservative strategy, avoiding high risks and aiming for low but guaranteed returns for her investors. Identify the type of fund which Mehek is handling.

- ☐ Mehek is handling a debt fund
- ☐ Mehek is handling an equity fund
- ☐ Mehek is handling a commodities fund
- ☐ Mehek is handling a balanced fund
- ☐ Mehek is handling money market fund

☒ UnAttempted

CORRECT ANSWER:

Mehek is handling a debt fund

Explanation:

Debt Fund – This fund invests major portion of the money in Govt bonds and Govt guaranteed securities.

This fund is for those investors who don't want to take high risk and are satisfied with lesser but guaranteed returns.

Q 90. The time span from the date a loan is approved to the anniversary date of an insurance policy is referred to as:

- ☐ Broken period
- ☐ Vesting period
- ☐ Deferment period
- ☐ Communication period
- ☐ Settlement period

☒ UnAttempted

CORRECT ANSWER:

Broken period

Explanation:

The period between the loan approval date and the anniversary date of the policy is known as broken period.

Q 91. _____ are sections of an insurance policy document.

- ☐ Preamble , operative clause and proviso
- ☐ Preamble and operative clause
- ☐ Operative clause and proviso
- ☐ Preamble , operative clause, schedule and proviso
- ☐ Preamble , operative clause,schedule,attestation and proviso

☒ UnAttempted

CORRECT ANSWER:

Preamble , operative clause,schedule,attestation and proviso

Explanation:

A policy document is usually divided into various sections : Policy preamble, Operative clause, Proviso, Schedule and Attestation.

Q 92. Sunil has purchased a life insurance policy that does not provide any pay-out on death during the policy period. What is your observation regarding this?

- ☐ Sunil has purchased a pure whole life assurance plan
- ☐ Sunil has purchased a pure money back assurance plan
- ☐ Sunil has purchased a pure unit linked insurance plan
- ☐ Sunil has purchased a pure term assurance plan
- ☐ Sunil has purchased a pure endowment assurance plan

☒ UnAttempted

CORRECT ANSWER:

Sunil has purchased a pure endowment assurance plan

Explanation:

Pure endowment plans are life insurance plans that give the policyholder a guaranteed sum assured at policy maturity if they survive the policy term. They are a low-risk savings tool that does not provide a death benefit or maturity benefit to the policyholder's family if the policyholder dies during the policy term.

Q 93. Fill in the blanks with correct options: On 1st September 1956, the entire life assurance business of _____ was transferred to the Life Insurance Corporation of India (LIC).

- ☐ Indian insurance companies and some provident societies
- ☐ Indian insurance companies and branches of foreign insurance companies
- ☐ Indian insurance companies, branches for foreign insurance companies and some provident societies
- ☐ Branches of foreign insurance companies and all provident societies
- ☐ Branches of foreign insurance companies and some provident societies.

☒ UnAttempted

CORRECT ANSWER:

Indian insurance companies, branches for foreign insurance companies and some provident societies

Explanation:

In 1956, the life insurance business in India was nationalised and the Life Insurance Corporation of India (LIC) was formed on 1st September 1956.

The entire life insurance business, which was in the hands of Indian companies, branches of foreign companies and some provident societies were transferred to LIC.

Q 94. According to IRDAI regulations, once the top-up premium in a Unit Linked Insurance Plan (ULIP) is paid, it cannot be withdrawn from the fund for a period of ____ from the date of the top-up payment.

- ☐ 1 Years
- ☐ 4 Years
- ☐ 2 Years
- ☐ 3 Years
- ☐ 5 Years

☒ UnAttempted

CORRECT ANSWER:

5 Years

Explanation:

Top-up: individuals are allowed to invest additional amount of money over and above the regular premium that they are paying. This is known as top-up. As per regulations, Top up premium once paid cannot be withdrawn from the fund for a period of 5 years from the date of payment.

- Q 95. Neel has purchased an endowment assurance plan with a sum assured of Rs. 25 Lakhs for a period of 30 years. He has been paying the premium on a monthly basis. After making 180 monthly premium payments, Neel finds himself unable to continue paying the premium due to financial difficulties. He decides to convert his policy into a paid-up policy. The surrender value rate is 80%. Can you calculate the surrender value of Neel's policy?

- ☐ 10 Lakh
☐ 19 Lakh
☐ 20 Lakh
☐ 12 Lakh
☐ 25 Lakh

☒ UnAttempted

CORRECT ANSWER:

10 Lakh

Explanation:

The Sum Assured is 25 lakhs

Total monthly premiums to be paid = 30 years x 12 months = 360

Premiums paid = 180

Paid up Value = Sum assured X (Number of Premiums Paid / Total number of Premiums Payable)

= 25,000,00 x (180 / 360)

= 12,50,000

Surrender value is 80% of the paid up value.

Therefore, 80% of 12,50,000 = 10 Lakh is the surrender value of Neel's policy.

- Q 96. The policy administration charges are recovered by cancellation of units on _____ basis, in a Unit Linked Insurance Plan (ULIP).

- ☐ Daily
☐ Monthly
☐ Weekly
☐ Fortnight
☐ Quarterly

☒ UnAttempted

CORRECT ANSWER:

Monthly

Explanation:

Policy administration charges are levied for the administration of ULIPs. These charges are recovered by cancellation of units on a monthly basis.

- Q 97. Ironboard Private Limited is considering taking out a term insurance policy for its employees. What factors could they use to determine the sum assured?

- ☐ The sum assured could be based on a multiple of the employee's salary.
☐ The sum assured could be based on the employee's salary, their designation, or the length of their tenure in the organization.
☐ The sum assured could be based on the employee's designation or the length of their tenure in the organization.
☐ The sum assured could be based on a multiple of the employee's salary or their designation.
☐ The sum assured could be based on a multiple of the employee's salary or the length of their tenure in the organization.

☒ UnAttempted

CORRECT ANSWER:

The sum assured could be based on the employee's salary, their designation, or the length of their tenure in the organization.

Explanation:

Group term insurance scheme provides life insurance cover to a group of people as a single entity. Like individual term policy, the group term insurance scheme, provides death cover to the members. In the case of the death of a member the nominee is paid the sum assured under the scheme

Q 98. Review the following statements related to the eligibility criteria for a group insurance plan and identify the INCORRECT one.

- ☐ Group insurance is provided by some companies only to confirmed employees who have completed their probation period.
- ☐ The beneficiary does not have the option to select the amount of insurance cover.
- ☐ The primary reason for the group's formation or existence must be the insurance cover.
- ☐ A group must have a minimum number of members, and there may not be a maximum limit.
- ☐ On the date of commencement, the employee must be actively working, i.e., the employee should not have been absent from duty due to sickness in the last 6 months.

☒ UnAttempted

CORRECT ANSWER:

The primary reason for the group's formation or existence must be the insurance cover.

Explanation:

Group insurance schemes provide insurance to a group of people under one single master policy.

The employees get the benefit of group insurance till they are employed by the company. The individual beneficiary members of the group cannot choose the amount of insurance cover. The amount will be determined on criteria which are applied uniformly to all the members of the group.

Minimum requirements like "actively at work" and "no medical leave for the last 6 months" could be the simple conditions of eligibility

Formation of the group: Insurance cover must not be the prime motive for the formation or existence of the group

Q 99. Sarika, an underwriter at an insurance company, receives an insurance proposal from Ram for a sum assured of Rs. 40 lakhs for 25 years. Based on Ram's risk assessment, Sarika rejects the proposal. Can you analyze Sarika's decision and explain it further?

- ☐ Sarika has completely removed the risk for the insurance company.
- ☐ Sarika has lowered the degree of risk for the insurance company.
- ☐ Sarika has deferred the risk for the insurance company for some time.
- ☐ Sarika has mitigated a portion of the risk for the insurance company.
- ☐ Sarika has shortened the duration of the risk for the insurance company.

☒ UnAttempted

CORRECT ANSWER:

Sarika has completely removed the risk for the insurance company.

Explanation:

An underwriter will reject a proposal if the risk is deemed to be too great to be accepted at any point of time.

Q 100. What is the typical guideline for determining the premium of a policy in relation to the age of the proposer?

- ☐ Age does not affect the premium
- ☐ The higher the age, the lower the premium
- ☐ The higher the age, the higher the premium
- ☐ The younger the age, the higher the premium
- ☐ Age accounts for 50% of the premium, while other factors determine the remaining 50% of the premium

☒ UnAttempted

CORRECT ANSWER:

The higher the age, the higher the premium

Explanation:

As age increases so does the risk of death. The likelihood of a person aged 70 dying in the next year is more than that of a person aged 20.

For this reason the age of the proposer plays a vital role in assessing the risk of death and therefore the amount of premium to be charged.